

↓ A WORD ABOUT INFLATION AND TAXATION

Personal finance articles and books often offer dramatic examples of the rewards of saving without ever mentioning inflation. So far in this chapter, I haven't done much better. It's time for me to come clean.

Although saving over a long period of time really is a good idea, the fact is it won't make you as rich as it might seem from the examples given so far. As you may remember from Chapter 5, inflation can drastically reduce the purchasing power of the dollar over time. Consider, for example, the scenario I outlined at the beginning of this chapter—the \$126,840 you'd have forty years from now would not buy nearly as much as \$126,840 can buy today.*—

This doesn't mean you shouldn't save. As the numbers show, you still come out way ahead if you start saving in a retirement account while you're young—even after inflation. When money is allowed to grow for decades without being taxed, the results are extraordinary.

Consider the following example. Suppose you put \$5,000 into each of two accounts—a Roth IRA and a taxable account—in 2009. Let's also assume that each account earns 8% a year, the annual inflation rate is 3%, and you're in a 25% federal tax bracket. After 30 years, the \$5,000 in the Roth IRA will have grown to approximately \$20,728 (in 2009 dollars). The \$5,000 in the taxable account, on the other hand, will only have increased to \$14,825 (again in 2009 dollars). The bottom line: You will have earned 60% more (\$15,728 versus \$9,825) by putting your money in a tax-favored account than you would have with a taxable one.

↓ ANSWERS TO SOME COMMON QUESTIONS

Okay. Now you've got the point: You don't want to miss out on the benefits of saving in a retirement plan when you're young. This next section will answer a few questions to help you get started.

The Facts on 401(k)s